GMS WEEKLY

Your Source for Recycling News

February 10th, 2023
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Week 6

Highlights:

- **Increased flow.**
- **India focus.**
- **Liquidity woes.**
- **No tankers.**
- **2023 positive.**
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QUOTE of the WEEK

"Real change, enduring change, happens one step at a time."

– Ruth Bader Ginsburg

MARKET COMMENTARY

BUILDING UP!

An increase in the flow of tonnage has begun to buoy recycling markets and all potential locations are increasingly trying to secure vessels, in order to satisfy an progressively rampant demand that has built up over a record low influx of tonnage during a dreadfully quiet 2022.

Of course, India continues to remain the primary focus due to their far more stable market conditions and ability to finance new L/Cs regardless of vessel size.

Bangladesh and Pakistan continue to struggle with liquidity issues amidst a dire lack of U.S. Dollars in each country, despite continued hope that ongoing negotiations with regards to their respective IMF loans may bring some sort of relief to their respective ship recycling sectors (and more).

Lastly, the Aliaga market was understandably quiet after massive earthquakes rocked the Turkey and Syria this week that resulted in the tragic passing of over 10,000 souls.

Overall, the main supply of tonnage continues to arrive from the feeder container sector (few Panamax containers have yet to arrive), whilst there is also an increase in the flow of dry bulk vessels, as charter rates sink to fresh lows - especially after the Chinese New Year Holidays.

There seems to be little chance of seeing tankers this year, especially as charter markets push on to new highs – something which is long overdue, following the bloodletting witnessed in this particular sector over the last few years.

2023 has commenced in an overall positive fashion for the international ship recycling markets, with an increased flow of deals and a positive market with a healthy demand across nearly all locations – and it would seem that as soon as L/C issues are sorted in both Pakistan and Bangladesh, the industry can be sure of a busy and vibrant year ahead.

For week 6 of 2023, GMS demo rankings / pricing for the week are as below.

Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	India	Positive	545 / LDT	555 / LDT	565 / LDT
2	Bangladesh	Positive	540 / LDT*	550 / LDT*	560 / LDT*
3	Pakistan	Weak	525 / LDT*	535 / LDT*	545 / LDT*
4	Turkey	Weak	300 / LDT	310 / LDT	320 / LDT

**Subject L/C approval*

BANGLADESH

TALKS CONTINUE!

Much talk, little action.

Amidst a renewed demand and improving fundamentals, discussions on new deals continue at pace in Bangladesh, but recyclers with the ability to perform on workable L/Cs to pay for vessels, remain few and far between.

As such, the number of locally realised deals is remarkably low as most firm tonnage continues to head towards Indian shores since the start of the year, where Sellers are assured of performances and timely payments.

IMF loan.

Negotiations continue on the much-anticipated IMF loan, which should bring some much-needed U.S. Dollars into the country – yet, in the grand scheme of events, this will only amount to about USD 2 - 3 billion when in reality, much more is needed to ease the current liquidity crisis.

On the local fundamentals front, steel plate prices firmed an impressive USD 25/Ton, possibly on the back of some steel being offloaded from recent deliveries that is boosting local resale levels. Even the Bangladeshi Taka firmed back towards the BDT 103.50 mark, in further positive developments for the local market.

NO MARKET SALES REPORTED

INDIA

TEMPORARY SHOCKS!

Adani impact.

Despite having one of the slowest year (2022) for ship recycling in decades, falls of about USD 12/Ton on local steel plate prices in India (this week alone), and the most recent scandal surrounding the potential collapse of the Adani empire, demand in Alang remains rife for new vessels.

As the currency continues to trade in the mid Rs. 82 against the U.S. Dollar and while few expect any significant long-lasting effects from the Adani affair, this temporary shock to sentiments is expected to recover as the weeks roll on.

Few sales.

Several container (in particular) candidates for green recycling continue to be discussed, but there were few sales realised for the week, with an uptick in activity expected in the weeks ahead.

One sale was concluded after protracted discussions as the Navy Support vessel (converted from container with 2,200 Tons permanent ballast on board) BUNGA MAS ENAM (4,750 LDT) was concluded at a decent USD 320/LT LDT basis an 'as is' under tow Malaysia delivery and for guaranteed HKC recycling in Alang.

MARKET SALES REPORTED

VESSEL NAME	TYPE	LDT	REPORTED PRICE
BUNGA MAS ENAM	Navy Support Vessel	4,750	USD 320/LT LDT ('as is' Malaysia for HKC recycling only)

PAKISTAN

LACKING BITE!

Lowest placed.

As the lowest placed and least reliable ship-recycling market across the sub-continent, there has been little to cheer in Gadani of late, especially while the current inertia is expected to suffer for some time to come.

Until the U.S. Dollar credit / liquidity crisis is resolved in the country, there seems little that Gadani Buyers can do and there is little hope of fresh deals being concluded into this market any time soon.

Trying best on LCs.

On the local fundamentals front, domestic steel plate prices jumped nearly USD 60/Ton this week, however, the weakening Pakistani Rupee may have something to do with the change in levels as the Rupee briefly dipped past PKR 276, only to end the week at levels just north of PKR 271.

Overall, Gadani Recyclers are certainly trying to do their best to open usance L/Cs or obtain private financing / alternate means of opening L/Cs through Middle East and (especially) Dubai based banks / intermediaries in particular. Notwithstanding, whilst prices remain so off, business, and new transactions will expectedly remain muted.

NO MARKET SALES REPORTED

TURKEY

EARTHQUAKE!

Turkey and Syria were jolted by what seems like a once in a century earthquake that has resulted in the untimely passing of over 10,000 souls (some putting the number past 20,000).

10,000 souls.

As a result, the market remained relatively quiet and unchanged since last week with local steel plate prices stranded on even keel and the Lira gradually weaker, yet buoying around the last TRY 18s against the U.S. Dollar.

This market is far firmer than it was a few weeks ago and we do not expect any long terms absence from Aliaga Buyers.

Long term absence.

NO MARKET SALES REPORTED

INTERESTING FACTS

- *"Lunatics" can blame the moon. One of the moon facts from the Middle Ages is that scientists and philosophers believed that a full moon caused seizures and influenced episodes of fever and rheumatism. Because of the connection between the moon and unusual behavior, the afflicted were called lunatics, or, literally, "moon sick."*
- *The moon is disappearing. Each year, the moon's orbit moves about four centimeters away from the Earth, meaning that in a mere 500 million years, the moon will be 14,600 miles farther away than it is right now.*
- *There are fresh footprints on the moon's surface. Man hasn't set foot on the moon in more than four decades, and yet, fresh prints remain. Is this evidence of an alien life form? Is Bigfoot taking up extra-planetary residence? Nah, they're just leftover astronaut footprints. Because there's no wind or water on the moon, tracks can last millions of years.*
- *The original name for the search engine Google was Backrub. It was renamed Google after the googol, which is the number one followed by 100 zeros.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**BEACHING TIDES**
No holidays in February	February 04 – February 10 February 18 – February 25

BANGLADESH	
BANK HOLIDAYS	**BEACHING TIDES**
February 21 – Shaheed Day	February 08 – February 11 February 21 – February 24

IMPORTANT BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
No holidays in February	**No holidays in February**	**No Holidays in February**

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ALANG - Port Position as of February 10, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Dmitriy Paschenko (Under Tow)	3,817	Fishing Vessel	Arrived February 09
2	Evgeniy Zotov	734	Reefer	Arrived January 18
3	Lian	9,534	Bulk Carrier	Arrived February 02
4	*Maersk Aberdeen*	*5,914*	*Container*	*Beached February 05*
5	Nauta	2,867	Reefer	Arrived February 06
6	*Okra 1*	*21,018*	*Bulk Carrier*	*Beached February 06*
7	*Pioner Nikolaeva*	*3,899*	*Fishing Vessel*	*Beached February 03*
8	*Uni 1*	*7,098*	*Container*	*Beached February 03*
Total Tonnage		**54,881**		

CHATTOGRAM - Port Position as of February 10, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	**Ariana**	**15,672**	**Tanker**	**Arrived June 22**
2	*Don*	*9,543*	*Bulk Carrier*	*Beached February 09*
3	**Gala**	**16,885**	**Tanker**	**Arrived February 28**
4	*Harin Transport 20*	*898*	*General Cargo*	*Beached February 08*
5	*Jasmine 201*	*9,928*	*Bulk Carrier*	*Beached February 08*
6	Konpira 2	3,489	RoRo	Arrived February 07
7	O Star	6,407	Bulk Carrier	Arrived February 06
8	Rose	1,959	Chemical Tanker	Arrived February 02
9	**Winton T128**	**975**	**Bulk Carrier**	**Arrived June 23**
10	Xin	7,839	Bulk Carrier	Arrived February 07
Total Tonnage		**73,594**		

GADANI - Port Position as of February 10, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
	No new vessels reported.			
Total Tonnage		**-**		

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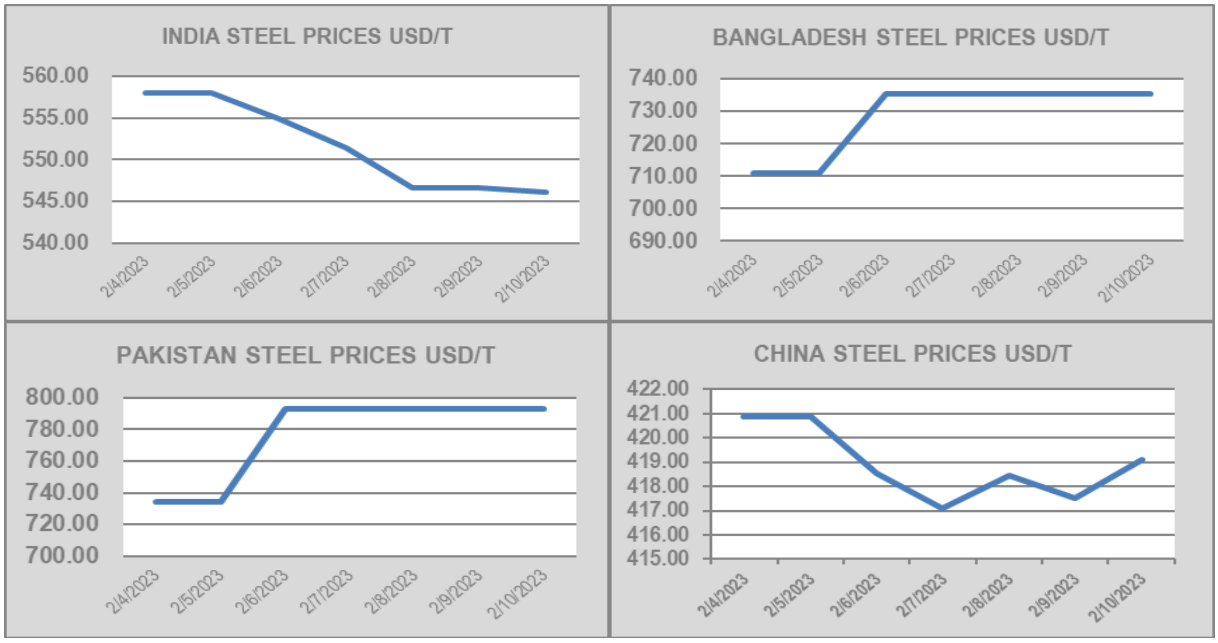
Steel Plate Prices

DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
2/4/2023	558.05	45,900.00	734.08	196,000.00	710.78	72,500.00	420.88
2/5/2023	558.05	45,900.00	734.08	196,000.00	710.78	72,500.00	420.88
2/6/2023	554.88	45,900.00	792.73	218,000.00	735.29	75,000.00	418.53
2/7/2023	551.39	45,600.00	792.73	218,000.00	735.29	75,000.00	417.11
2/8/2023	546.67	45,100.00	792.73	218,000.00	735.29	75,000.00	418.44
2/9/2023	546.67	45,100.00	792.73	218,000.00	735.29	75,000.00	417.50
2/10/2023	546.14	45,100.00	792.73	218,000.00	735.29	75,000.00	419.10



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